Institutions and Political Economy (PE4102E/PE4102EHM)

Instructor: Ruben Durante (NUS; email: rdurante@nus.edu.sg)
Day and Time: Friday, 9-12
Location: AS4-0206

General course objective:

The course introduces students to the field of political economics, which applies the toolbox of economic analysis to the study of politics. The course focuses primarily on empirical work and will be organized around a series of topics including: i) determinants of turnout and voting, ii) political agency and accountability, iii) Information and mass media, iv) special interest politics, patronage, and lobbying, v) corruption, vi) conflict, and vii) culture. The course will be primarily based on the reading of recent research papers and the in-depth discussion of their theories, methods, and results.

Readings: class readings consist mainly of journal articles, working papers and book chapters mostly available online from JSTOR (or other library e-resources). In addition to the topic-specific reading detailed below, the following general and methodological readings are also recommended:

Besley, T. *Principled Agents: the Political Economy of Good Government*, Oxford University Press, 2006.

Persson, T. e G. Tabellini, *Political Economics: Explaining Economic Outcomes*, MIT Press, 2000.

Persson, Torsten and Guido Tabellini (2003) *The Economic Effects of Constitutions*, MIT Press.

Myerson, Roger (2000) "Economic Analysis of Constitutions," Chicago Law Review 67:925-940

Assessment

1. Class participation (20% of the grade): all students are expected to attend and actively participate in all classes and to read the assigned material before each class.

2. Class presentation (group assignment, 20%): once during the course students (organized in groups of 3 or 4) are expected to prepare a 15-20-minute presentation of one of the readings assigned for that class and to lead the discussion of the paper. The discussion should focus on the paper's contribution and empirical methodology (including limitations and possible improvements), and on its relationship with other course readings.

3. Research proposal (group assignment; 60%): by the end of the course students (organized in groups of 3 or 4) will write a 5-to-10 page research proposal. The proposal should describe a research idea related to one of the topics covered in class. It should include a survey and critical discussion of the relevant related literature, a detailed discussion of the empirical approach, a description of the primary data source(s) and, ideally, the description of some preliminary results.

4. Referee reports (individual assignment for PE4102EHM students only, 25%): two times during the course each student will write a two-page referee report on one of the papers assigned for that session. The report should focus on the paper's contribution and empirical methodology (including limitations and possible improvements), and on its relationship with other course readings.

Topics:

1. Introduction

Besley, T. (2004), “The New Political Economy”, Keynes Lecture at LSE.

Acemoglu, D. (2010). “Theory, General Equilibrium, Political Economy and Empirics in Development Economics*, Journal of Economic Perspectives*, Summer 2010, 24(2), pp. 17-32.

Merlo, A. (2006), "Whither Political Economy? Theories, Facts and Issues," in Blundell, R., W. Newey and T. Persson (eds.) *Advances in Economics and Econometrics Theory and Applications*, Ninth World Congress, Vol I, Cambridge University Press.

Persson, Torsten, and Guido Tabellini (2000), "Political Economics", Ch. 1*

2. Voting and elections

2.1 Determinants of turnout and voting

Feddersen, T. and W. Pesendorfer (1996) The Swing Voter's Curse. American Economic Review. 86(3): 408-424.

Coate, S., M. Conlin, and A. Moro (2008). “The performance of pivotal-voter models in small-scale elections: Evidence from Texas liquor referenda”, Journal of Public Economics, 92, 582–596.

Gerber, A., D. Green, and C. Larimer (2008). “Social Pressure and Voter Turnout: Evidence from a Large-Scale Field Experiment”, American Political Science Review, 102(1), 33-48.

Washington, E. (2006) “How Black Candidates Affect Voter Turnout,” Quarterly Journal of Economics, 121 (3), 973-998.

Campante, Filipe R. and Davin Chor (2010). “Schooling, Political Participation and the Economy”, Review of Economics and Statistics (forthcoming).

Funk, P. (2010) "Social Incentives and Voter Turnout: Evidence from the Swiss Mail Ballot System", Journal of the European Economic Association, 8(5): 1077–1103.

Sondheimer, Rachel Milstein, and Donald P. Green, (2010). “Using Experiments to Estimate the Effects of Education on Voter Turnout,” *American Journal of Political Science* 54(1): 174-189.

Manacorda, M., E. Miguel, and A. Vigorito. (2011), “Government Transfers and Political Support”, *American Economic Journal: Applied Economics*, 3(3), 1-28.

Mullainathan, S. and E. Washington (2009), “Sticking with Your Vote: Cognitive Dissonance and Political Attitudes”, *American Economic Journal: Applied Economics*, 1(1), 86-111.

Bagues, Manuel, and Berta Esteve-Volart (2016) “Politicians’ Luck of the Draw: Evidence from the Spanish Christmas Lottery” Journal of Political Economy 2016 124:5, 1269-1294.

Madestam A., and D. Yanagizawa-Drott "Shaping the Nation: The Effect of Fourth of July on Political Preferences and Behavior in the United States", working paper.

DellaVigna, Stefano, John A. List, Ulrike Malmendier, and Gautam Rao (2014). “Voting to tell others,“ Working paper.

2.2 Politicians’ identity and policy outcomes

Chattopadhyay, R. and E. Duflo (2004). “Women as Policy Makers: Evidence from a Randomized Policy Experiment in India,” Econometrica, 72(5), 1409-1443.

Lee, D., and E. Moretti, and M. J. Butler (2004). “Do Voters Affect or Elect Policies? Evidence from the U.S. House,” Quarterly Journal of Economics, 119(3), 807-859.

Pande, R. (2003). “Can Mandated Political Representation Increase Policy Influence for Disadvantaged Minorities? Theory and Evidence from India,” American Economic Review, 93(4), 1132-1151.

Miller, Grant (2008). “Women’s Suffrage, Political Responsiveness, and Child Survival in American History”, Quarterly Journal of Economics, 123(3), 1287-1327.

2.3. Political agency and accountability

Besley, T. and A. Case (1995). “Does Political Accountability Affect Economic Policy Choices? Evidence from Gubernatorial Term Limits,” *Quarterly Journal of Economics*, 110(3), 769-98.

Dal Bó, E. and M. Rossi (2011), “Term Length and the Effort of Politicians,” *Review of Economic Studies*, 78(4), 1237-1263.

Ferraz, C. and F. Finan (2010), “Electoral accountability and corruption: Evidence from the audit if local governments,” *American Economic Review*, 101, 1274-1311.

Akhmedov, Akhmed, & Ekaterina Zhuravskaya, 2004. "Opportunistic Political Cycles: Test in A Young Democracy Setting," The Quarterly Journal of Economics, MIT Press, vol. 119(4), pages 1301-1338, November.

Besley (ch. 4); Persson-Tabellini (ch. 4)

2.4. Politician motivations and selection

Ferraz, C. and F. Finan (2010). “Motivating Politicians: The Impacts of Monetary Incentives on Quality and Performance”, working paper.

Besley, T. 2004. “Paying Politicians: Theory and Evidence.” *Journal of the European Economic Association*, 2:193–215.

Caselli, F., and M. Morelli. 2004. “Bad Politicians.” *Journal of Public Economics*, 88:759–782.

Ernesto Dal Bó, Frederico Finan, Martín A. Rossi, Strengthening State Capabilities: The Role of Financial Incentives in the Call to Public Service, The Quarterly Journal of Economics, Volume 128, Issue 3, August 2013, Pages 1169–1218.

3. Information and mass media

3.1 Traditional media

Prat, A. and David Strömberg, 2010, "The Political Economy of Mass Media" CEPR Discussion Paper Series No. 8246

Snyder, J. and D. Strömberg (2010). “Press Coverage and Political Accountability”, *Journal of Political Economy*, 118(2), 355-408.

Stromberg, 2004, “Radio's Impact on Public Spending”, Quarterly Journal of Economics, vol. 119, n. 1, pp. 189-221.

DellaVigna S. and E. Kaplan, 2007, “The Fox News Effect: Media Bias and Voting”, QJE*, vol. 122, n. 3, pp.* 1187-1234.

Durante, Ruben, Paolo Pinotti, and Andrea Tesei. 2019. "The Political Legacy of Entertainment TV." American Economic Review, 109 (7): 2497-2530.

Enikolopov, R., Petrova, M., and Zhuravskaya, E., “Media and Political Persuasion: Evidence from Russia”, American Economic Review, 2011.

Durante R. and B. Knight, “Partisan Control, Media Bias, and Viewer Responses: Evidence from Berlusconi’s Italy," Journal of the European Economic Association, 2012.

Eisensee and Stromberg, 2007, "News Droughts, News Floods, and U.S. Disaster Relief," Quartertly Journal of Economcis, vol. 122, n.2, pp. 693-728.

Durante R., and E. Zhuravskaya, “Attack when the World is not Watching: U.S. Media and the Israeli-Palestinian Conflict," Journal of Political Economy, forthcoming.

Beattie, G., Durante, R., Knight, B., and Ananya Sen, “Advertising Spending and Media Bias: Evidence from News Coverage of Car Safety Recalls”, Management Science, forthcoming.

Chiang, C.F. and B. Knight, “Media Bias and Influence: Evidence from Newspaper Endorsements”, The Review of Economic Studies, vol. 78, no. 3, 2011, pp. 795–820.

3.2 Internet and Social Media

Durante R., F. Campante and F. Sobbrio, “Politics 2.0: Politics 2.0: The Multifaceted Effect of Broadband Internet on Political Participation," Journal of the European Economic Association, 2017.

Gentzkow, M. and Shapiro, J., “Ideological Segregation Online and Offline, Quarterly Journal of Economics (2011) 126 (4): 1799-1839.

Enikolopov, Ruben, Alexey Makarin, and Maria Petrova. 2018. “Social Media and Protest Participation: Evidence from Russia.” Working Paper.

Allcott, Hunt, Luca Braghieri, Sarah Eichmeyer, and Matthew Gentzkow. 2019. “The Welfare Effects of Social Media.” Working Paper.

Alessandro Gavazza, Mattia Nardotto, Tommaso Valletti, Internet and Politics: Evidence from U.K. Local Elections and Local Government Policies, *The Review of Economic Studies*, Volume 86, Issue 5, October 2019, Pages 2092–2135.

4. Political distortions

4.1. Political connections and rents

Dube, Arin, Ethan Kaplan, and Suresh Naidu (2011). “Coups, Corporations, and Classified Information”, *Quarterly Journal of Economics,* 126(3), 1-35.

Fisman, Ray (2001). “Estimating the Value of Political Connections”, *American Economic Review*, 91: 1095-1102.

DellaVigna, Stefano, Ruben Durante, Brian Knight, and Eliana La Ferrara (2013). “Influence for Sale: Evidence from the Italian Advertising Market”, American Economic Journal: Applied Economics, 2016.

Khwaja, Asim, and Atif Mian. (2005). “Do Lenders Favor Politically Connected Firms? Rent Provision in an Emerging Financial Market”, *Quarterly Journal of Economics*, 120(4).

Marianne Bertrand, Francis Kramarz; Antoinette Schoar, David Thesmar “Politicians, Firms and the Political Business Cycle: Evidence from France” (2008) mimeo.

4.2 Special interests politics and patronage

Dahlberg, M. and E. Johansson (2002), “On the Vote Purchasing Behavior of Incumbent Governments”, *American Political Science Review*, 96(1).

Hsieh, C.-T., E. Miguel, D. Ortega, and F. Rodriguez. (2011), “The Price of Political Opposition: Evidence from Venezuela’s *Maisanta*”, *American Economic Journal: Applied Economics*, 3(2), 196-214.

Coate, Steve and Steve Morris (1995). “On the Form of Transfers to Special Interests”, *Journal of Political Economy*, 103, 1210-1235.

Dixit A. and J. Londregan (1996), “The Determinants of Success of Special Interests in Redistributive Politics”, *Journal of Politics*, 58(4): 1132-1155.

4.3 Vote buying, electoral fraud and voter intimidation

Fujiwara, Thomas (2015) "Voting Technology, Political Responsiveness, and Infant Health: Evidence from Brazil." Econometrica, 83(2): 423-464.

Collier, Paul and Pedro Vicente (2014), "Votes and Violence: Evidence from a Field Experiment in Nigeria", Economic Journal, 124(574): 327-355.

Finan, Frederico and Laura Schecter (2012) "Vote-Buying and Reciprocity", Econometrica, 80(2): 863-881.

Nichter, Simeon (2008), "Vote Buying or Turnout Buying? Machine Politics and the Secret Ballot," APSR 102 (1), 19-31.

Vicente, Pedro (2013), "Is Vote Buying Effective? Evidence from a Field Experiment in West Africa?" Forthcoming Economic Journal.

Larreguy, Horacio (2012) “Monitoring Political Brokers: Evidence from Clientelist Networks in Mexico” Mimeo.

4.4 Lobbying and campaign spending

Levitt, S. (1994), “Using Repeat Challengers to Estimate the Effect of Campaign Spending on Election Outcomes in the U.S. House”, *Journal of Political Economy*, 102(4), 777-798.

Mian, Atif R., Amir Sufi, and Francesco Trebbi (2009). “The Political Economy of the U.S. Mortgage Default Crisis”, forthcoming *American Economic Review*.

Ansolabehere, Steven, John de Figueiredo, James Snyder (2003). “Why is There so Little Money in U.S. Politics?” *Journal of Economic Perspectives*, 17(1) ,105-130.

Grossman, G. and E. Helpman (2001), *Special Interest Politics*, MIT Press (ch. 4-5).

5. Corruption

Bandiera, Oriana, Andrea Prat, and Tommaso Valletti (2009), "Active and Passive Waste in Government Spending: Evidence from a Policy Experiment," American Economic Review, 99 (4), pp 1278-1308.

Fisman, Raymond, and Edward Miguel (2007) "Corruption, norms, and legal enforcement: Evidence from diplomatic parking tickets." Journal of Political economy 115(6): 1020-1048.

Bertrand, Marianne, Djankov, Simeon, Hanna, Rema and Mullainathan, Sendhil, (2007)

"Obtaining a Driver's License in India: An Experimental Approach to Studying Corruption," Quarterly Journal of Economics, 122(4): 1l639-1676.

Reinikka, Ritva and Svennson, Jacob (2004) "Local Capture: Evidence from a Central Government Transfer Program in Uganda," Quarterly Journal of Economics, 119: 679-705.

Di Tella, Rafael and Ernesto Schargrodsky (2003) "The Role of Wages and Auditing During a Crackdown on Corruption in the City of Buenos Aires," Journal of Law and Economics, 46: 269-292

Olken, Benjamin (2007). "Monitoring Corruption: Evidence from a Field Experiment in Indonesia," Journal of Political Economy, 115 (2): 200-249.

6. Conflict

Blattman, Christopher and Edward Miguel (2010). "Civil War". 48(1): 3-57.

Dube, Oeindrila and Juan Vargas (2011) "Commodity Price Shocks and Civil Conflict: Evidence from Colombia". Working paper:

Miguel, Edward, Shanker Satyanath and Ernest Sergenti (2004), "Economic Shocks and Civil Conflict: An Instrumental Variables Approach," Journal of Political Economy 112(4): 725-753.

Nunn, Nathan, and Nancy Qian (2014) "US Food Aid and Civil Conflict." American Economic Review, 104(6): 1630–66.

7. Culture

Alesina, Alberto and Paola Giuliano. "Culture and Institutions". Journal of Economic Literature, 53 (4) 898-944.

Durlauf, Steven N. and Marcel Fafchamps. (2005). "Social Capital". In The Handbook of Economic Growth. Aghion, Philippe and Durlauf, Steven, eds. Amsterdam; North-Holland.

Algan, Yann and Pierre Cahuc (2011). "Inherited Trust and Growth, American Economic Review, 100(5): 2060-2092.

Durante, Ruben. (2010). "Risk, Cooperation, and the Economic Origins of Social Trust: An Empirical Investigation." Mimeo Sciences Po Paris.

Guiso, Luigi, Paola Sapienza, and Luigi Zingales, (2004). "The Role of Social Capital in Financial Development. " American Economic Review, 94(3): 526-556

Guiso, Luigi, Paola Sapienza and Luigi Zingales (2009). "Cultural Biases in Economic Exchange?," Quarterly Journal of Economics, 124(3).

Tabellini, Guido (2010), "Culture and Institutions: Economic Development in the Regions of Europe", Journal of the European Economic Association, 8(4): 677-716.